Questions — Market Sensing

Analytical Questions

1. Explain how the Active Inference model of perception differs from traditional market research methodology. What does it mean to design research around prediction errors rather than data collection, and why does this distinction matter?

2. Steve Blank's Customer Development methodology prescribes "getting out of the building" to test hypotheses. Analyze this prescription through the Active Inference framework. What specific perceptual function does customer conversation serve, and what are the risks of staying "inside the building"?

3. Compare the precision profiles of different market sensing methods: customer interviews, large-scale surveys, A/B tests, and focus groups. For each method, identify its strengths and weaknesses in terms of specificity, generalizability, and susceptibility to bias.

4. Explain why Rob Fitzpatrick's "Mom Test" principle — asking about past behavior rather than future intentions — produces higher-precision evidence. Use Active Inference to distinguish between evidence about actual free energy minimization (behavior) and evidence about self-models (stated intentions).

5. How does patent analysis function as competitive intelligence? What can be inferred about a competitor's generative model from their patent filings, and what are the limitations of patent analysis as a sensing method?

6. Analyze the concept of "minimum viable product" (MVP) as a perception strategy rather than a product strategy. What distinguishes an MVP designed for maximum evidence generation from an MVP designed for minimum development effort?

7. How does the Active Inference framework explain the failure of market research to predict the success of genuinely novel inventions? Consider cases like the iPhone,

Airbnb, or personal computers where traditional market research would have predicted low demand.

8. Describe how confirmation bias operates in market sensing through the Active Inference framework. How does excessive precision on prior beliefs prevent accurate perception of market signals?

9. Explain the difference between leading indicators and lagging indicators in trend detection. How does the Active Inference model of prediction error help distinguish between genuine signals and noise in trend data?

10. The GDPR regulatory shift was predictable from signals available years before its enforcement. Analyze the information hierarchy that would have enabled early detection: academic publications, regulatory proposals, public sentiment, industry lobbying. What precision and lead time does each signal type provide?

Applied Questions

1. Design a prediction-first market research plan for your invention. State five falsifiable predictions, rank them by strategic importance, and specify the highest-precision evidence source for testing each prediction.

2. Write a customer discovery interview script for your invention following Active Inference principles. Include at least five questions designed to generate prediction errors rather than confirmation, and explain what each question tests.

3. Conduct a competitive intelligence analysis for your invention's market. Identify three competitor actions, infer what each reveals about the competitor's generative model, and predict their most likely next strategic move.

4. Your first round of customer discovery interviews has generated a significant prediction error: customers care about a problem dimension you did not anticipate. Describe how you would update your generative model, what additional sensing you would conduct, and how this might change your invention.

5. Design a regulatory sensing system for your invention's domain. Identify at least four signal types you would monitor, specify the precision and lead time of each, and describe how you would synthesize these signals into a regulatory forecast.
6. You have a limited budget and can only pursue three market sensing activities in the next quarter. How do you prioritize among customer interviews, competitive analysis, trend monitoring, regulatory sensing, and market sizing? Justify your choices using the Active Inference framework.
7. Your invention is in a market where the "jobs-to-be-done" are poorly understood. Design a sensing strategy specifically aimed at identifying the customer's underlying generative model — what predictions they are trying to make and what uncertainty they are trying to reduce.
8. A major technology analyst has published a report claiming that your invention's technology category is entering the "Trough of Disillusionment." How do you evaluate this claim? What evidence would distinguish a genuine trough from a temporary setback?
9. Design an "evidence chain" — a sequence of sensing activities where each activity uses the results of the previous one to increase precision. Start with the lowest-cost, lowest-precision activity and build toward the highest-cost, highest-precision activity.
10. Your market sensing has revealed that your initial target market is smaller than expected. You face a choice: pivot to a different market, or expand your definition of the current market. Describe the sensing strategy you would use to make this decision, including what evidence would favor each option.